

GUIDE 05 · PRIVATE CREDIT

Private Credit.

How lending in private markets works — where the income comes from, the main types of loans, and what to weigh as a lender.

An educational guide for investors exploring private lending strategies.

HeadOverSea

01 What is private credit?

Private credit is lending — directly to companies — outside the public bond market. In this world, the investor is the lender, and the return is the interest paid back.

When a business needs financing, it can borrow from a bank, issue a public bond, or turn to a private lender. Private credit funds pool investor capital to make these loans directly, negotiating the terms one-on-one and collecting interest over the life of the loan.

IN ONE LINE

You lend; borrowers pay interest. Private credit turns that interest into a stream of income for investors.

THREE DEFINING FEATURES

01

You're the lender

Returns come from being paid back with interest, not from owning equity.

02

Income first

The bulk of the return is regular interest income, often paid along the way.

03

Privately negotiated

Terms, protections and pricing are agreed directly between lender and borrower.

02 The main types of private credit

Private credit spans a range from conservative senior loans to opportunistic, higher-return lending. Each type sits at a different point on the risk ladder.

TYPE	RISK & RETURN	WHAT IT IS
Direct lending	LOWER · STEADY	Senior loans to established mid-sized companies — the core of most private credit.
Mezzanine	MODERATE	Loans that rank below senior debt, earning higher interest for taking more risk.
Asset-based	VARIES	Lending secured against specific assets such as equipment, receivables or property.
Distressed / special	HIGHEST	Lending to companies in difficulty, aiming for higher returns through complexity.


 SENIOR · LOWER RISK

JUNIOR · HIGHER RISK

03 Where the return comes from

Private credit returns are built mostly from income – and reinforced by the structure and protections a lender negotiates.

FORCE ONE

Interest income

Borrowers pay interest regularly over the life of the loan. This dependable income is the heart of the return.

FORCE TWO

Structural protection

Seniority, collateral and covenants are designed to protect the lender's capital if a borrower struggles.

THREE SOURCES OF A LENDER'S EDGE

Floating rates

Many private loans pay interest that rises with market rates, cushioning against rate increases.

Seniority

Ranking ahead of other creditors means being repaid first if things go wrong.

Covenants

Contractual rules that give the lender early warning and leverage to protect capital.

04 What to weigh as a lender

Income is attractive, but lending carries its own risks. Knowing them is what separates confident investors from surprised ones.

Credit risk The chance a borrower can't repay. Underwriting and diversification are the main defences.

Liquidity Loans are held privately, so your capital is committed for the term.

Rate sensitivity Floating rates help when rates rise but can lower income when they fall.

Manager underwriting The lender's skill in choosing and structuring loans drives outcomes.

QUESTIONS WORTH ASKING

○ **How are loans chosen?**

What is the manager's process for underwriting and approving a loan?

○ **What protections exist?**

What collateral and covenants back the loans?

○ **Where do we rank?**

Are these senior, secured loans — or further down the order?

○ **How diversified is it?**

Is income spread across many borrowers and sectors?

REFERENCE

05 Key terms, in plain language

Private credit

Lending directly to companies outside the public bond market.

Direct lending

Senior loans made directly to mid-sized companies.

Mezzanine

Debt that ranks below senior loans, paying more for higher risk.

Senior / secured

Loans repaid first and backed by collateral.

Covenant

A contractual condition that protects the lender.

Floating rate

Interest that moves up or down with market rates.

Credit risk

The risk that a borrower fails to repay.

Underwriting

The process of assessing and structuring a loan before making it.

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